

7-3b Control of Cash Payments

The control of cash payments should provide reasonable assurance that:

- Payments are made for only authorized transactions.
- Cash is used effectively and efficiently. For example, controls should ensure that all available purchase discounts are taken.

In a small business, an owner/manager may authorize payments based on personal knowledge. In a large business, however, purchasing goods, inspecting the goods received, and verifying the invoices are usually performed by different employees. These duties must be coordinated to ensure that proper payments are made to creditors. One system used for this purpose is the voucher system.

Voucher System

A

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is any document that serves as proof of authority to pay cash or issue an electronic funds transfer. An invoice that has been approved for payment could be considered a voucher. In many businesses, however, a voucher is a special form used to record data about a liability and the details of its payment.

In a manual system, a voucher is normally prepared after all necessary supporting documents have been received. For the purchase of goods, a voucher is supported by the supplier's invoice, a purchase order, and a receiving report. After a voucher is prepared, it is submitted for approval. Once approved, the voucher is recorded in the accounts and filed by due date. Upon payment, the voucher is recorded in the same manner as the payment of an account payable.

In a computerized system, data from the supporting documents (such as purchase orders, receiving reports, and suppliers' invoices) are entered directly into computer files. At the due date, the checks are automatically generated and mailed to creditors. At that time, the voucher is electronically transferred to a paid voucher file.

Cash Paid by EFT

Cash can also be paid by electronic funds transfer (EFT) systems. For example, you can withdraw cash from your bank account using an ATM machine. Your withdrawal is a type of EFT transfer.

Companies also use EFT transfers. For example, many companies pay their employees via EFT. Under such a system, employees authorize the deposit of their payroll checks directly into their checking accounts. Each pay period, the company transfers the employees' net pay to their checking accounts through the use of EFT. Many companies also use EFT systems to pay their suppliers and other vendors.

Link to eBay

eBay purchased **PayPal (PYPL)**, which was developed to enable individuals and businesses to safely send and receive payments online. Because of new online payment systems such as Apple Pay, eBay discontinued its PayPal operations in 2015 and established PayPal as a separate, publicly held company.

Business Insight

Mobile (Cell Phone) Banking

With apps such as Apple Pay and Venmo, banking using our cell (mobile) phones is rapidly emerging as a preferred method of making payments and deposits. With these apps, our cell phones become our wallets and our cash is electronic. We digitally transfer cash from our bank accounts or credit cards with a tap, and deposit checks by snapping an image with our phone's camera. Security is enhanced with fingerprint or Face ID login to the smartphone. In this way, only the phone's owner can open the "wallet." While electronic payments speed up transaction processing and produce fewer errors, many of the internal control features required for managing cash payments and deposits are eliminated by this technology, much like EFT transactions. Moreover, even credit card slips are replaced by electronic authorizations and transactions. Internal controls are still required to verify that prices are accurate and goods are properly delivered for authenticated purchases.

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